



e - GOVERNANCE

HARYANA (BIG STATE)

Achieved **100 per cent** targeted roll-out of IT-based kiosks called Common Service Centres (CSC)

SIKKIM (SMALL STATE)

The hill state too has achieved **100 per cent** roll-out of government services through CSC kiosks.



NREGA

RAJASTHAN (BIG STATE)

Provided employment to **26.31 lakh** households. Has the highest average of **75.78 days** to beneficiaries.

MIZORAM (SMALL STATE)

Created **125.82 lakh** persondays employment to **91,758** households across the state.

That though has not hampered allocations. If at all there was a mention, it was in the 2005 budget, entrusting the Planning Commission with the responsibility to measuring outcomes. Since 2005, there has been no word or progress on any mechanism for measuring outcomes. Indeed, allocations for the Centrally sponsored schemes have shot up. The flagship schemes are an empire by themselves. Since 2004, when the UPA came to power, allocations have trebled across sectors. To appreciate the magnitude of expansion, consider this. Between 1994-95 and 2000-01, allocations for the Ministry of Rural Development (MORD)—the nodal ministry for most CSS—rose from Rs 7,070 crore to Rs 9,760 crore. By 2005-06, it was Rs 24,480 crore. This year, the plan budget for the MORD is Rs 62,706 crore. Between 1994 and 2004, the Government of India and the states spent a total of Rs 25,656 crore (that is, an average of Rs 2,500 crore per year) on a series of ever-changing acronyms that were meant to create employment in rural India for those trapped under the poverty line. This year, the Government will spend Rs 39,100 crore on the flagship NREGA scheme.

Indeed, by the end of the financial year, the Government will spend Rs 94,650 crore through the ministries of power, rural development, human resource development, women and child welfare, water resources and housing towards direct intervention for poverty alleviation. Given the declaration of drought and other political considerations, the bill for the year should surpass a trillion rupees or Rs 1,00,000 crore. Consider the arithmetic of poverty alleviation. By the Planning Commission's estimates, there are 300 million people or 60 million households living below the poverty line. Translate the spend into individual entitlement taking the original allocation of Rs 4,650 crore. Each person would get around Rs 3,155 or each household will get Rs 15,755. That is, if all the money allocated reaches the beneficiaries. The harsh truth is that barely Rs 15 of every Rs 100 spent for the poor reaches them.

This is by no means a case against the need for intervention. In fact, there are clearly 300 million reasons for direct intervention. No civil society can afford a third of its populace living in abject poverty in abysmal conditions. It is not politically sustainable. There is every reason they should have a new deal because this status quo is not sustainable economics either. But the current religion that preaches spend is equal to poverty alleviation cannot survive even its believers. India clearly needs to look at new ways of doing it. One way could be direct transfer of cash. It is an idea whose time has come. ■